SI 315

Models of Social Information Theory

Silas Falde

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8 Herding and Information Cascades

- People change their behavior based on what others are doing
- Information cascade: people make same decisions as others regardless of private information
- Subjects use conditional probability to make the best decisions based on others' behaviors
- Bayes' Rule:

$$\mathrm{P}(A \mid B) = \frac{\mathrm{P}(A)\,\mathrm{P}(B \mid A)}{\mathrm{P}(B)} \tag{8.1}$$